

Takaichi politically secure despite governing stumbles

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Short-term trajectory:

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Prime Minister Takaichi Sanae remains politically secure despite falling approval ratings, with 75% odds of her surviving her party's leadership election in September 2027.

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However, Takaichi's insular governing style is producing real costs, from a rupture with Beijing following her November Taiwan comments to a growing inability to build alliances among lawmakers in the ruling Liberal Democratic Party (LDP).

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Meanwhile, fiscal expansion will continue despite growing market pressure, with Takaichi set to push through a cut on consumption taxes on food this fall and possibly a supplemental budget that will raise spending on defense.

Despite sagging approval ratings, Takaichi's grip on power remains firm. Her public support has fallen due to her prioritization of divisive right-wing legislation over household economic concerns, but her cabinet's approval rating remains above 50%. With no credible near-term political challengers, she is still the favorite to win the LDP leadership election in September 2027.

Takaichi's most formidable potential challengers—Defense Minister Koizumi Shinjiro and LDP policy research council chair Kobayashi Takayuki—are young enough to wait for a better moment to run. Interior Minister Hayashi Yoshimasa is most likely to seek a challenge but lacks popular support and name recognition. Unless Takaichi's approval rating deteriorates much further, a major scandal emerges, or her health fails, she will probably remain prime minister until the summer 2028 general election (75% odds).

Takaichi will continue to struggle with Diet management. Takaichi's political instincts are strong—her snap lower house elections in February produced a historic LDP supermajority (see: [Unpacking Japan's Snap Elections](#) , 11 February 2026)—but questions about her ability to govern effectively are emerging. The prime minister is an outlier in Japan's clubby political system, avoiding social rituals such as late-night drinking sessions and factional schmoozing. She prefers to study policy documents alone

rather than receive briefings, and she keeps her own counsel to a degree that leaves even trusted deputies operating in the dark at times.

This insularity has real costs. Her unscripted public remarks on Taiwan in November led to a likely years-long downturn in China-Japan relations (see: Beijing will maintain calibrated pressure campaign against Tokyo , 20 July 2026). Off-the-cuff comments on the economy have rattled markets. Nascent efforts to widen her circle of allies in the Diet, including through a study group created to expand her circle, have also failed.

The looming cabinet reshuffle will offer clues about Takaichi's political priorities. She will likely prioritize adding lawmakers from the minority partner Japan Innovation Party (JIP) to her cabinet to shore up the LDP-JIP coalition, with Agriculture Minister Suzuki Morikazu the most likely to be replaced. Hayashi's dismissal would be more significant, as he is seen to be too centrist and pro-China. Removing Koizumi from the cabinet would risk alienating a rising star and creating an anti-Takaichi faction, but his increasing independence is a potential threat. She could also remove Suzuki Shun'ichi as LDP secretary general, but this would test her uneasy alliance with political kingmaker and former prime minister Aso Taro, who is Suzuki's brother-in-law and is growing skeptical of Takaichi.

She will maintain fiscal expansion and retain Washington's support on economic issues. Takaichi will likely reduce the consumption tax on food from 8% to 1% in an extraordinary Diet session this fall despite mounting concerns about Japan's fiscal position. Last month, her cabinet approved new fiscal guidelines that pledge \$2.3 trillion in combined public-private investment by 2040 across 17 key industries, as well as looser restraints on government deficits. The Diet will probably also pass a supplemental budget by the end of the year that will increase defense outlays among other spending.

The coordinated intervention of the US and Japan over the last week to support the yen will buy her government some time, but not much, until the Bank of Japan can raise interest rates this fall. Intensifying market pressure is unlikely to force a policy reversal while Takaichi remains in office; Japan will likely have a new prime minister before it has a new economic orientation (see: Fiscal spending levels will remain high despite rising bond yields , 8 June 2026).

After decades of disagreement over currency policy, the US and Japan are finally aligned in preferring a stronger yen and weaker dollar. Both sides are prepared to incur manageable political and economic costs to achieve this aim. Further coordination on currency intervention is likely, though probably not on a scale to strengthen the yen beyond current levels. Competing priorities, including keeping Japanese yields low and facilitating Japanese investment commitments in the US, work against more decisive intervention.

Takaichi will likely remain in office until the upper house election in 2028. The LDP is expected to lose seats in that election, as many LDP lawmakers who won in 2022 on a wave of sympathy following former prime minister Abe Shinzo's assassination will face tough reelection campaigns. Takaichi's best option may be to call snap elections for the lower house at the same time, in which the LDP would likely perform better. Her approval rating ahead of that election will likely be the key determinant of whether she can remain in office beyond 2028.

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